

India Still Loves the FD, But a Little Less

For decades, the fixed deposit was India's ultimate investment. The younger generation is now asking a simple question: why settle for 6.5%-odd when markets have been offering better returns? And the numbers show it: Indian households are moving money towards equities and mutual funds.

By JYOTINDRA DUBEY & PRINCE TYAGI

Graphics By RAJ VERMA

HOW INDIA SAVES

IN FY15, DEPOSITS AND CASH ACCOUNTED FOR 63 PAISE OF EVERY RUPEE INDIANS SAVED IN FINANCIAL ASSETS. BY FY25, THAT WAS DOWN TO 49 PAISE, STILL THE DOMINANT SHARE, BUT THERE IS A CLEAR SHIFT IN PREFERENCE. EQUITIES HAVE SURGED FROM 29% TO 37%, AND MUTUAL FUNDS FROM 4% TO 9%.

